Project Lodestone

Combining Centerra Gold and Ero Copper to create an Americas-weighted copper-gold mid-tier

Discussion materials for the Board of Directors of Centerra Gold | Market data as of 2026-10-25

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Recommendation: Centerra should acquire Ero at C$54.64 per share, a 30% premium

- Offer of C$54.64 per Ero share: 75% Centerra stock (1.4470x exchange ratio) and 25% cash. Equity value US$4.1Bn; enterprise value US$4.5Bn.
- Creates a US$7.1Bn copper-gold producer with US$1.1Bn of 2027E EBITDA and ~0.58 Moz of gold-equivalent output.
- Accretive to earnings and cash flow from year one: EPS +33% and CFPS +25% in 2027E, rising with full synergies in 2028E.
- NAV per share is −14% at our below-spot deck but breaks even at ~US$5.88/lb flat copper, below today's spot of US$6.48/lb.
- US$155M of run-rate synergies (NPV US$630M). Pro forma leverage of 1.0x 2027E EBITDA leaves room to keep funding growth.

C$54.64
Offer per Ero share (30% premium)

+33%
2027E EPS accretion

+33%
2028E CFPS accretion

US$155M
Run-rate synergies

−14%
NAVPS at analyst deck

57%
Pro forma Centerra ownership

Source: yfinance market snapshot 2026-10-25; Lodestone model (model/lodestone_model.xlsx)

The offer values Ero at US$4.5Bn EV, 8.0x 2027E EBITDA, and leaves Centerra holders with 57%

Transaction terms	
Ero unaffected share price	C$42.03
Offer premium	30%
Offer price per Ero share	**C$54.64**
Cash per share / stock per share	C$13.66 / C$40.98
Exchange ratio (Centerra shares per Ero share)	1.4470x
New Centerra shares issued	150.9M
Equity purchase price	US$4.1Bn
Plus: Ero net debt	US$472M
Implied enterprise value	**US$4.5Bn**
Implied EV / 2027E EBITDA	8.0x
Implied P/NAV (reserve-only NAV, analyst deck)	3.07x

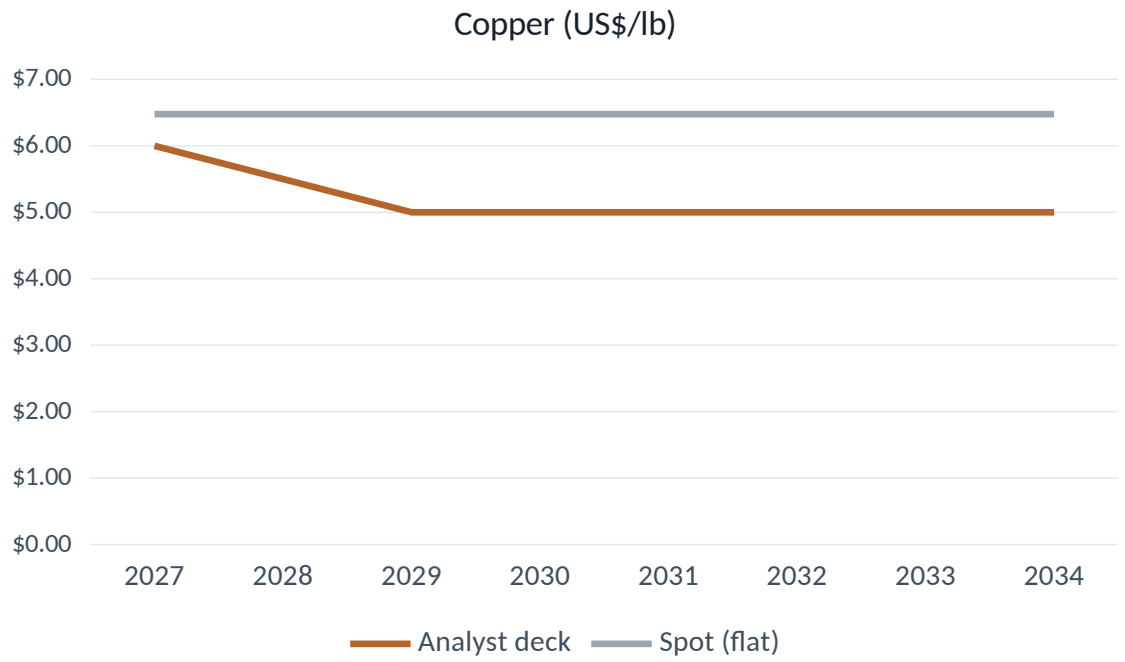
Pro forma ownership

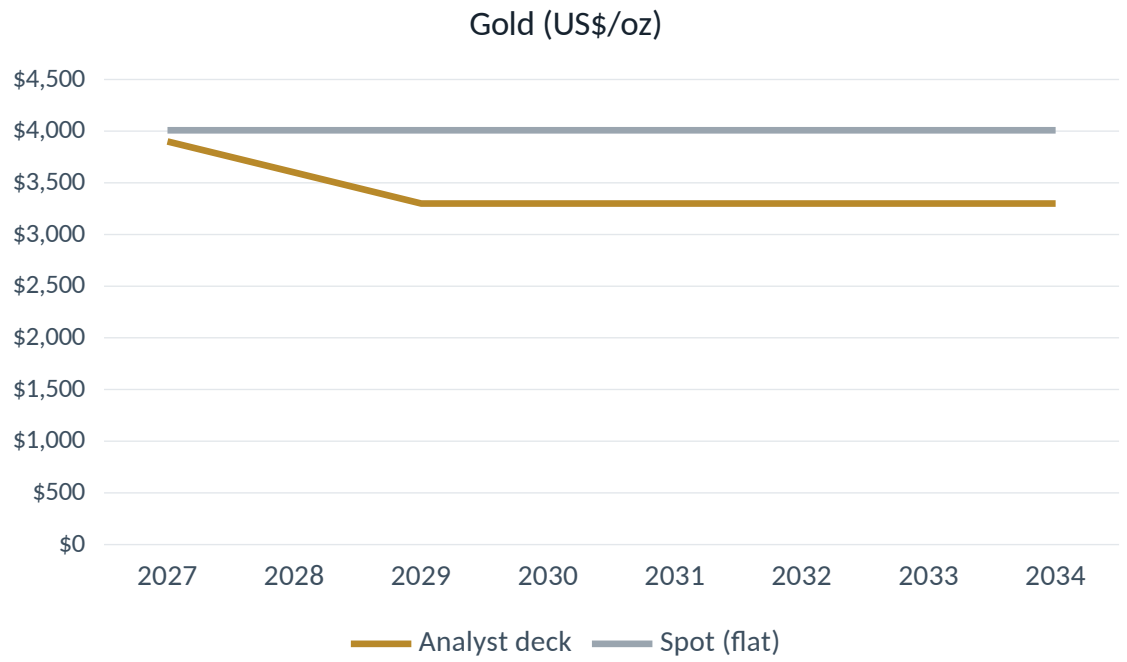


349.5M pro forma shares outstanding

Source: yfinance market snapshot 2026-10-25; Lodestone model (model/lodestone_model.xlsx)

Our deck sits well below spot for both metals, so the case does not rely on today's prices holding





- Copper: deck of US$6.00/lb in 2027 stepping to US$5.00/lb long-term, versus spot of US$6.48/lb. Electrification demand meets mine-supply growth below 2% a year.
- Gold: deck of US$3,900/oz in 2027 stepping to US$3,300/oz long-term, versus spot of US$4,008/oz.
- Every NAV and accretion figure in this book uses the deck unless stated otherwise; spot cases appear on the scenario and sensitivity pages.

Source: COMEX HG and GC front-month (yfinance); Lodestone price deck (data/price_deck.csv)

Centerra: an essentially debt-free gold producer whose copper is streamed and whose Öksüt mine ends by 2029

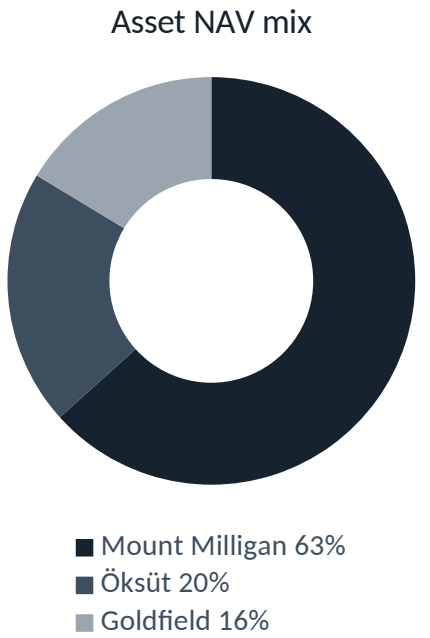
Asset	Location	Metal	Reserve life	LOM AISC (by-product)	NAV
Mount Milligan	Canada (BC)	gold-copper	20 yrs	US$1,275/oz	US$928M
Öksüt	Türkiye	gold	3 yrs	US$1,931/oz	US$298M
Goldfield	US (Nevada)	gold	8 yrs	US$1,563/oz	US$239M

C$28.32
Share price

US$4.0Bn
Market capitalisation

US$1.7Bn
NAV (deck)

2.38x
P/NAV (deck)



- Mount Milligan's PFS extends life to 2045, but 35% of its gold and 18.75% of its copper go to Royal Gold at a fraction of spot.
- Öksüt has ~3 years of reserves left; Goldfield is a gold development project. Organic copper growth is limited.
- US$453M of cash against US$46M of debt gives the capacity to pay part of the price in cash.

Source: Centerra Gold NI 43-101 reports, MD&A and reserve statements (see appendix); yfinance market snapshot 2026-10-25; Lodestone model (model/lodestone_model.xlsx)

Ero: two built Brazilian copper mines, now generating cash, but carrying US$575M of notes

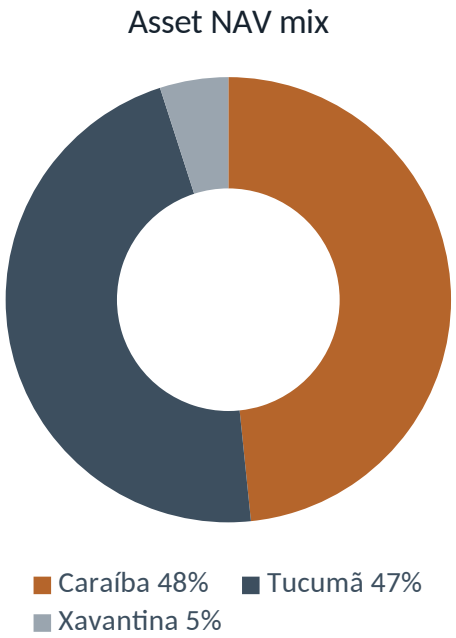
Asset	Location	Metal	Reserve life	LOM AISC (by-product)	NAV
Caraíba	Brazil (Bahia)	copper	17 yrs	US$3.37/lb	US$971M
Tucumã	Brazil (Pará)	copper	9 yrs	US$2.60/lb	US$936M
Xavantina	Brazil (Mato Grosso)	gold	5 yrs	US$2,478/oz	US$100M

C$42.03
Share price

US$3.1Bn
Market capitalisation

US$1.3Bn
NAV (deck)

2.36x
P/NAV (deck)



- Caraíba (Bahia) and the newly built Tucumã (Pará): 67.5–77.5 kt of 2026 copper guidance and 17- and 9-year reserve lives.
- Xavantina adds gold, but Ero is ~85% copper by 2027E revenue, the exposure Centerra lacks.
- Net debt of US$472M and remaining growth spend limit Ero's ability to fund the next phase alone.

Source: Ero Copper NI 43-101 reports, MD&A and reserve statements (see appendix); yfinance market snapshot 2026-10-25; Lodestone model (model/lodestone_model.xlsx)

Four reasons the combination is worth more than the two companies apart

1

Balance sheet room

1.0x

Pro forma net debt / 2027E EBITDA. Centerra's net cash absorbs Ero's notes and the cash portion of the offer.

2

Complementary metal mix

201 Mlb

Pro forma 2027E payable copper, 3.4x Centerra's own output, and none of Ero's copper is streamed.

3

Mine life and jurisdiction

17 yrs

Caraíba reserve life. Brazilian copper replaces Öksüt, which has ~3 years left, and lowers the weight of Türkiye in cash flow.

4

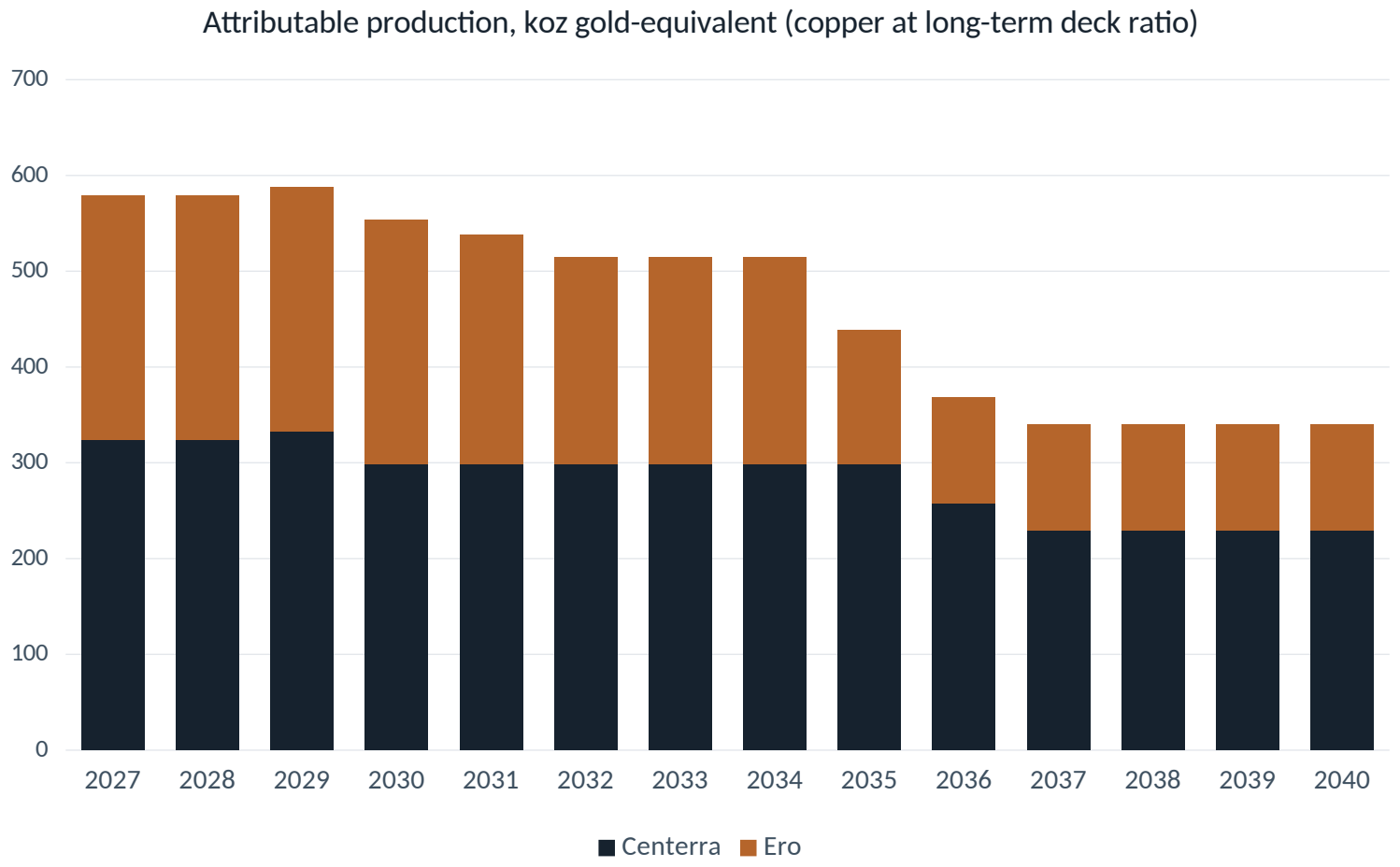
Operating fit

US$155M

Run-rate synergies from one head office, joint procurement and concentrate marketing, and shared technical services.

Source: Lodestone model: Corporate_NAV, Merger and Synergies tabs

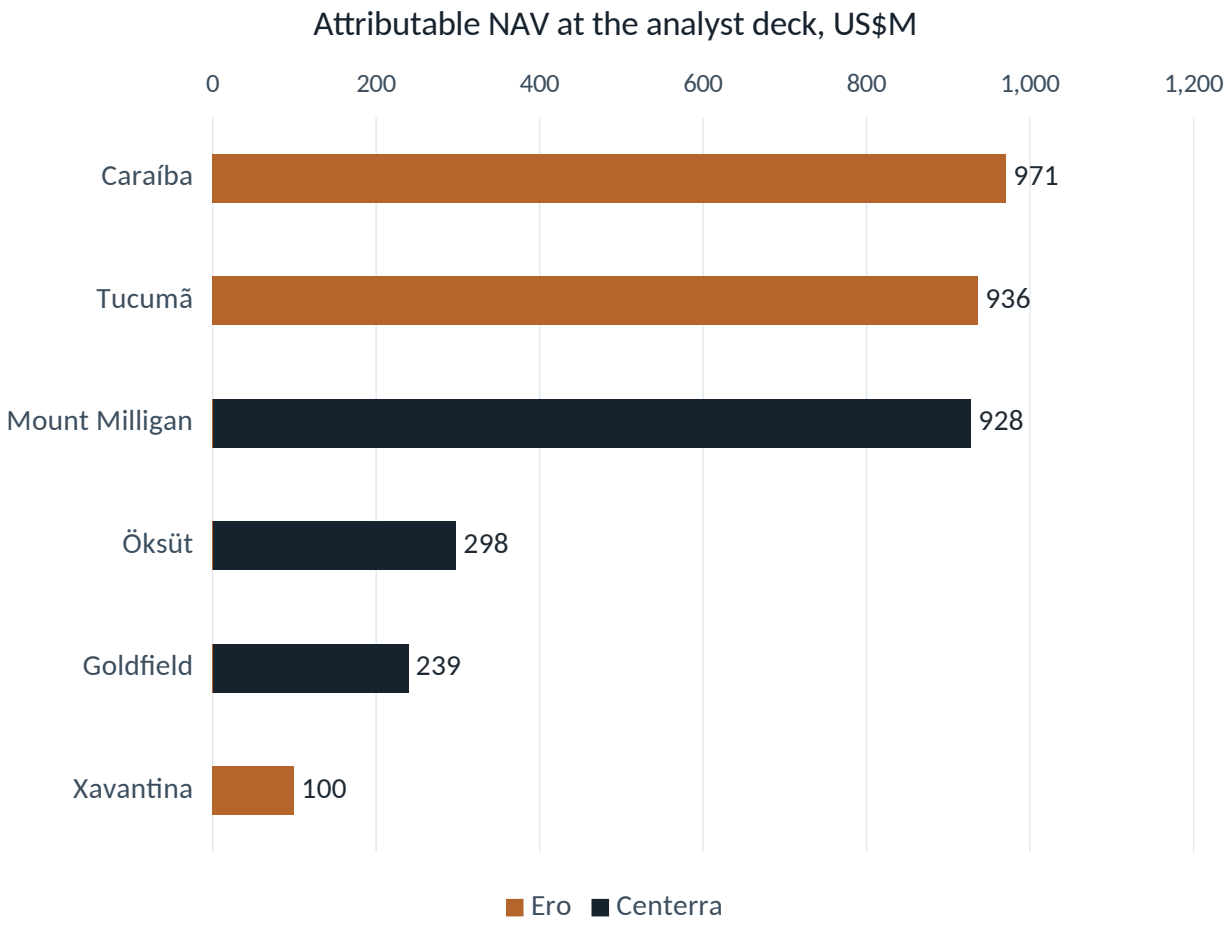
Pro forma, the company produces ~579 koz AuEq in 2027E, 53% of it from copper versus 27% for Centerra alone



Pro forma company	
Equity value	US$7.1Bn
2027E EBITDA (incl. synergies)	US$1.1Bn
2028E EBITDA (incl. synergies)	US$1.1Bn
Net asset value (deck)	US$2.6Bn
2027E payable copper	201 Mlb
Operating assets	5 + Goldfield
Net debt / 2027E EBITDA	1.0x

Source: Lodestone model: asset tabs (attributable payable metal) and Merger tab

Six mine-by-mine NAVs: Ero's two copper mines are worth more than any Centerra asset except Mount Milligan



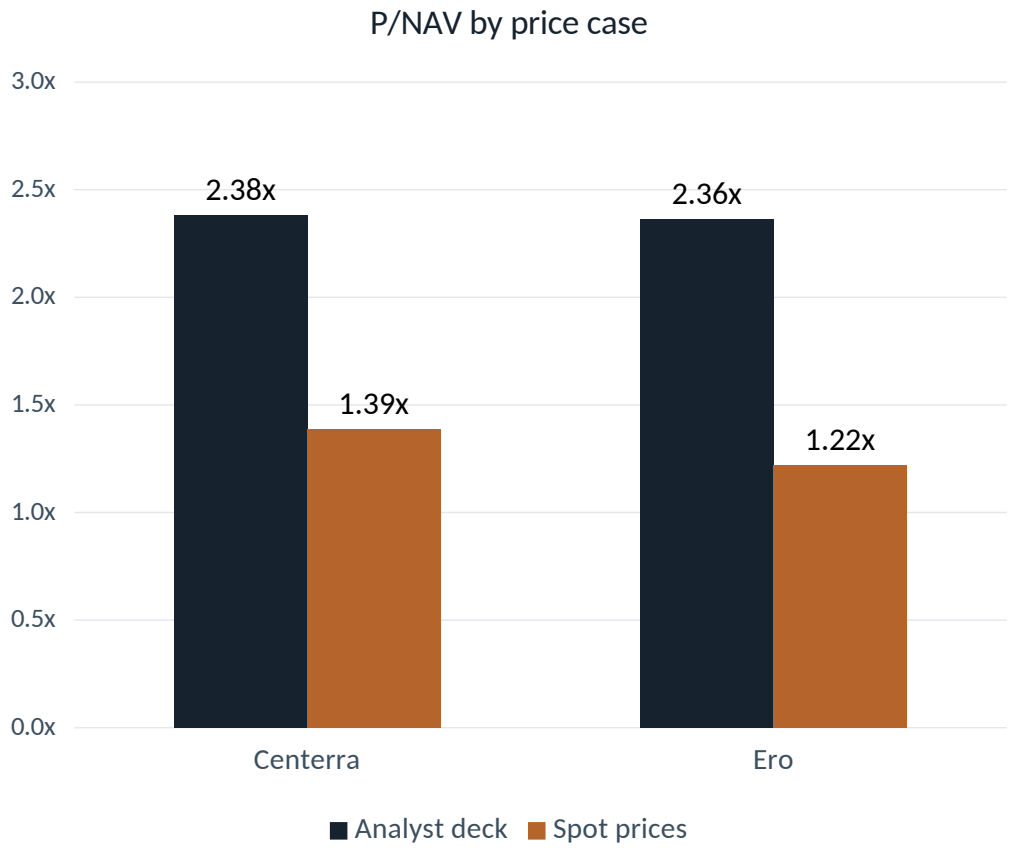
Asset	P&P reserve	Grade	Discount	Life
Caraíba	73.1 Mt	0.90% Cu	8.0%	17 yrs
Tucumã	43.1 Mt	0.83% Cu	8.0%	9 yrs
Mount Milligan	470.3 Mt	0.28 g/t	6.5%	20 yrs
Öksüt	15.4 Mt	1.02 g/t	5.0%	3 yrs
Goldfield	33.3 Mt	0.66 g/t	5.0%	8 yrs
Xavantina	1.1 Mt	6.80 g/t	5.0%	5 yrs

NAVs are reserve-only: no value for resources outside the mine plan, which is why both stocks trade above 1.0x.

Source: NI 43-101 technical reports and reserve statements; Lodestone asset tabs

Both stocks trade at similar multiples of our NAV: 2.38x for Centerra and 2.36x for Ero

US$M unless noted	Centerra	Ero
Attributable asset NAV	US$1.5Bn	US$2.0Bn
Corporate G&A (capitalised)	(US$386M)	(US$309M)
Other assets and exploration	US$200M	US$100M
Cash	US$453M	US$102M
Debt	(US$46M)	(US$573M)
Net asset value	**US$1.7Bn**	**US$1.3Bn**
Shares outstanding	198.6M	104.3M
NAV per share	**C$11.89**	**C$17.80**
Share price	C$28.32	C$42.03
P/NAV	**2.38x**	**2.36x**



Source: Lodestone model: Corporate_NAV and Scenarios tabs

Trading comparables: Ero trades in line with copper peers on EV/EBITDA and below them on cash flow

Company	Price	Mkt cap	EV	EV/EBITDA	P/CF	P/NAV	Reserves (Mt CuEq)	EV / lb CuEq
Centerra Gold	C$28.32	US$4.0Bn	US$3.6Bn	4.2x	8.9x	2.38x	2.24	US$0.73
Ero Copper	C$42.03	US$3.1Bn	US$3.6Bn	7.0x	6.7x	2.36x	0.98	US$1.66
Capstone Copper	C$11.19	US$6.1Bn	US$7.3Bn	7.4x	7.4x	n/a	7.00	US$0.47
Torex Gold	C$67.14	US$4.4Bn	US$4.4Bn	4.1x	5.5x	n/a	1.35	US$1.47
OceanaGold	C$34.67	US$5.5Bn	US$4.9Bn	3.4x	4.3x	n/a	1.80	US$1.24
SSR Mining	C$39.75	US$5.9Bn	US$4.1Bn	4.7x	9.9x	n/a	2.70	US$0.68
Hudbay Minerals	C$30.76	US$9.8Bn	US$9.9Bn	8.6x	11.7x	n/a	7.50	US$0.60
Lundin Mining	C$29.50	US$17.9Bn	US$18.1Bn	8.3x	10.1x	n/a	7.50	US$1.09
Eldorado Gold	C$44.32	US$8.3Bn	US$9.5Bn	8.2x	11.1x	n/a	3.90	US$1.10
DPM Metals	C$56.02	US$8.8Bn	US$8.0Bn	9.3x	11.4x	n/a	1.40	US$2.60
IAMGOLD	C$22.72	US$9.3Bn	US$9.3Bn	4.5x	4.6x	n/a	3.90	US$1.08
Equinox Gold	C$14.13	US$11.8Bn	US$12.1Bn	7.2x	11.0x	n/a	6.00	US$0.92
Peer median				**7.3x**	**10.0x**			**US$1.09**
Peer 25th percentile				**4.6x**	**6.0x**			**US$0.74**
Peer 75th percentile				**8.3x**	**11.1x**			**US$1.20**

Source: yfinance market snapshot 2026-10-25; Lodestone model (model/lodestone_model.xlsx). P/NAV shown only where a NAV is modelled; peer reserves are estimates (data/peer_inputs.csv)

Precedent copper and gold deals paid a median 31% premium; our 30% sits in the middle

Date	Acquirer	Target	Metal	Consideration	Equity value	Premium	P/NAV
2025-11	Coeur Mining	New Gold	gold-copper	All-stock	US$7.0Bn	16%	–
2025-05	Harmony Gold	MAC Copper	copper	All-cash	US$1.0Bn	31%	1.26x
2025-02	Equinox Gold	Calibre Mining	gold	All-stock	US$1.8Bn	31%	–
2024-12	Northern Star Resources	De Grey Mining	gold	All-stock	US$3.3Bn	37%	–
2024-08	Gold Fields	Osisko Mining	gold	All-cash	US$1.6Bn	55%	–
2024-07	BHP / Lundin Mining	Filo Corp	copper-gold	Cash and stock	US$3.3Bn	32%	–
2023-05	Newmont	Newcrest Mining	gold-copper	All-stock	US$19.2Bn	30%	–
2023-04	Hudbay Minerals	Copper Mountain Mining	copper	All-stock	US$439M	23%	–
2021-12	Lundin Mining	Josemaria Resources	copper-gold	Cash and stock	US$485M	39%	–

30%
25th percentile premium

31%
Median premium

37%
75th percentile premium

30%
Lodestone offer premium

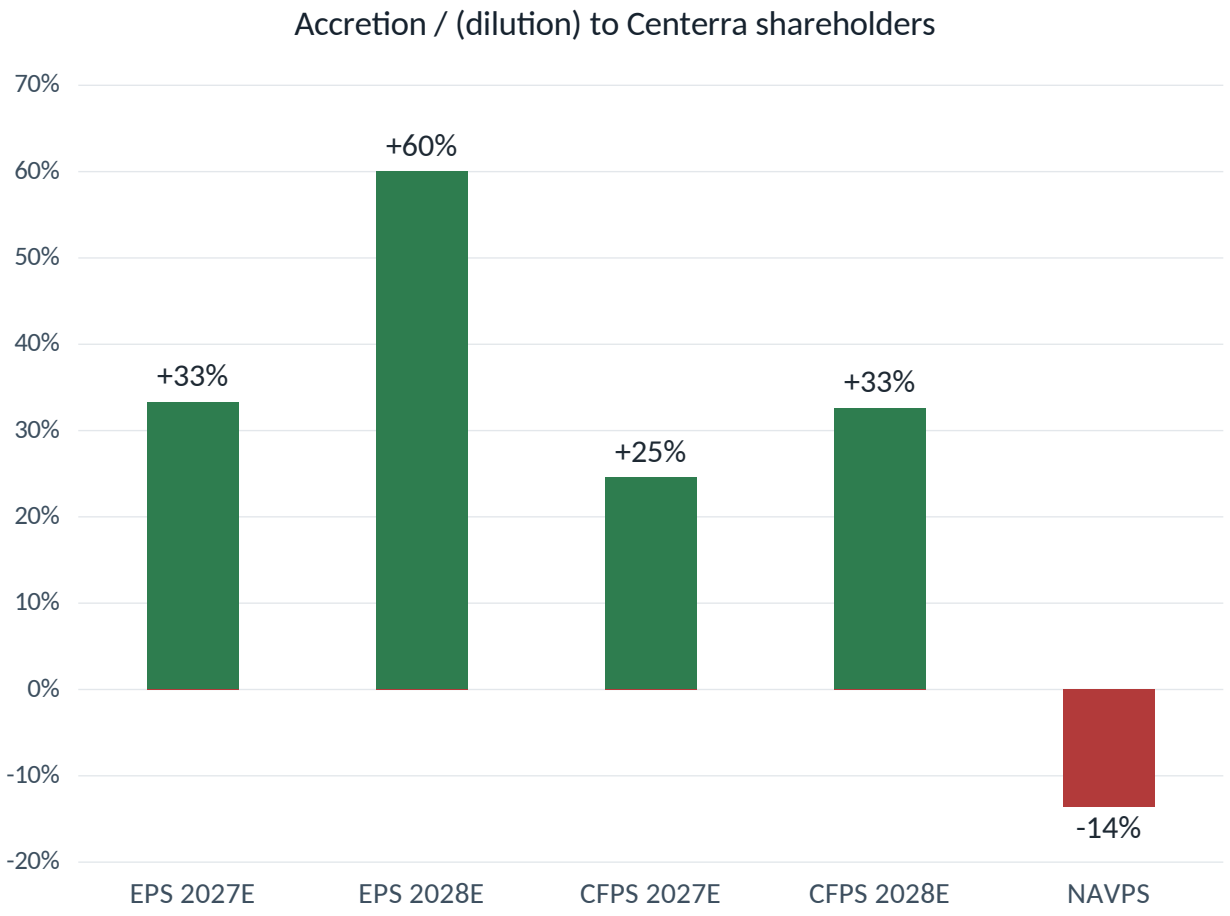
Source: Company press releases at announcement; FactSet (P/NAV benchmarks). Premiums to undisturbed price as reported

The C$54.64 offer sits inside most valuation ranges and at the low end of precedent premiums



Source: Lodestone model: Football_Field tab (ranges per Ero share, C$)

Strongly accretive to EPS and CFPS; NAVPS –14% at our deck, which the synergies only partly offset



Per share	2027E	2028E
Standalone EPS (US$)	1.12	0.80
Pro forma EPS (US$)	1.50	1.27
Standalone CFPS (US$)	1.98	1.70
Pro forma CFPS (US$)	2.47	2.25
After-tax synergies (US$M)	57	113
After-tax financing cost (US$M)	-42	-42

NAV per share	
Standalone NAVPS (US$)	8.49
Pro forma NAVPS (US$)	7.34
NAVPS before synergies	–35%
NAVPS after synergies	–14%

Source: Lodestone model: Merger tab. Excludes one-off integration and transaction costs and purchase price allocation

NAVPS turns accretive at ~US$5.88/lb copper; EPS stays accretive even with no synergies

NAVPS accretion: offer premium vs flat copper price (US$/lb)

Premium	US$4.00	US$4.50	US$5.00	US$5.50	US$6.00	US$6.50
15%	−45%	−25%	−10%	+2%	+11%	+19%
20%	−47%	−28%	−13%	−1%	+8%	+16%
25%	−50%	−31%	−16%	−4%	+5%	+13%
30%	−53%	−33%	−19%	−7%	+2%	+10%
35%	−55%	−36%	−21%	−10%	−1%	+7%
40%	−58%	−38%	−24%	−12%	−3%	+4%

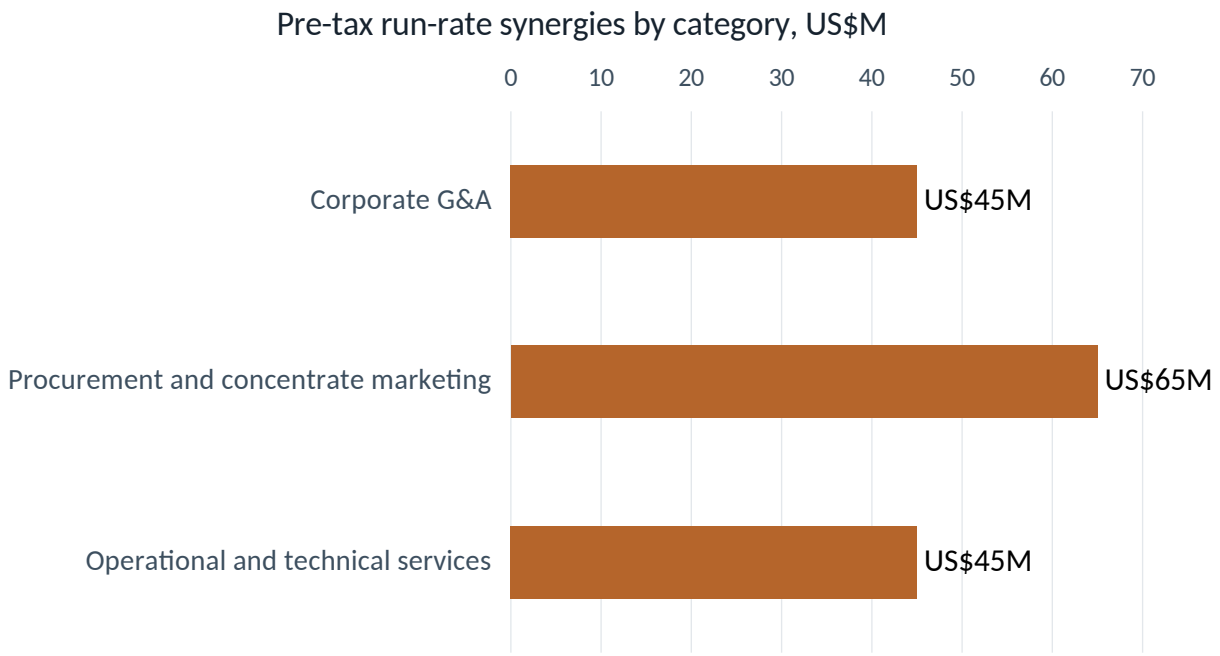
2028E EPS accretion: run-rate synergies vs cash portion

Synergies	0% cash	15% cash	25% cash	35% cash	50% cash
US$0M	+17%	+19%	+19%	+20%	+21%
US$50M	+28%	+31%	+32%	+34%	+36%
US$100M	+40%	+44%	+46%	+48%	+51%
US$155M	+52%	+57%	+60%	+63%	+68%
US$200M	+63%	+69%	+72%	+76%	+82%

- At the 30% premium, every US$0.50/lb on copper moves NAVPS accretion by roughly 11 points: the NAV case is a copper call.
- More cash in the mix raises EPS accretion because Centerra's stock is the more expensive currency, at the cost of leverage.

Source: Lodestone model: Sensitivity and Scenarios tabs (each copper case is a full recalculation of the workbook)

US$155M of run-rate synergies, worth US$630M after tax and integration costs



Category	Basis
Corporate G&A	One head office, board, listing and IT: removes ~50% of combined US$90M corporate G&A
Procurement and concentrate marketing	~6% of the combined ~US$1.1Bn site cash cost and sustaining capex base (reagents, energy, grinding media, freight, smelter terms)
Operational and technical services	Shared technical services and fleet maintenance practices across six sites; exploration budget rationalisation

US$78M
2027E (50% phase-in)

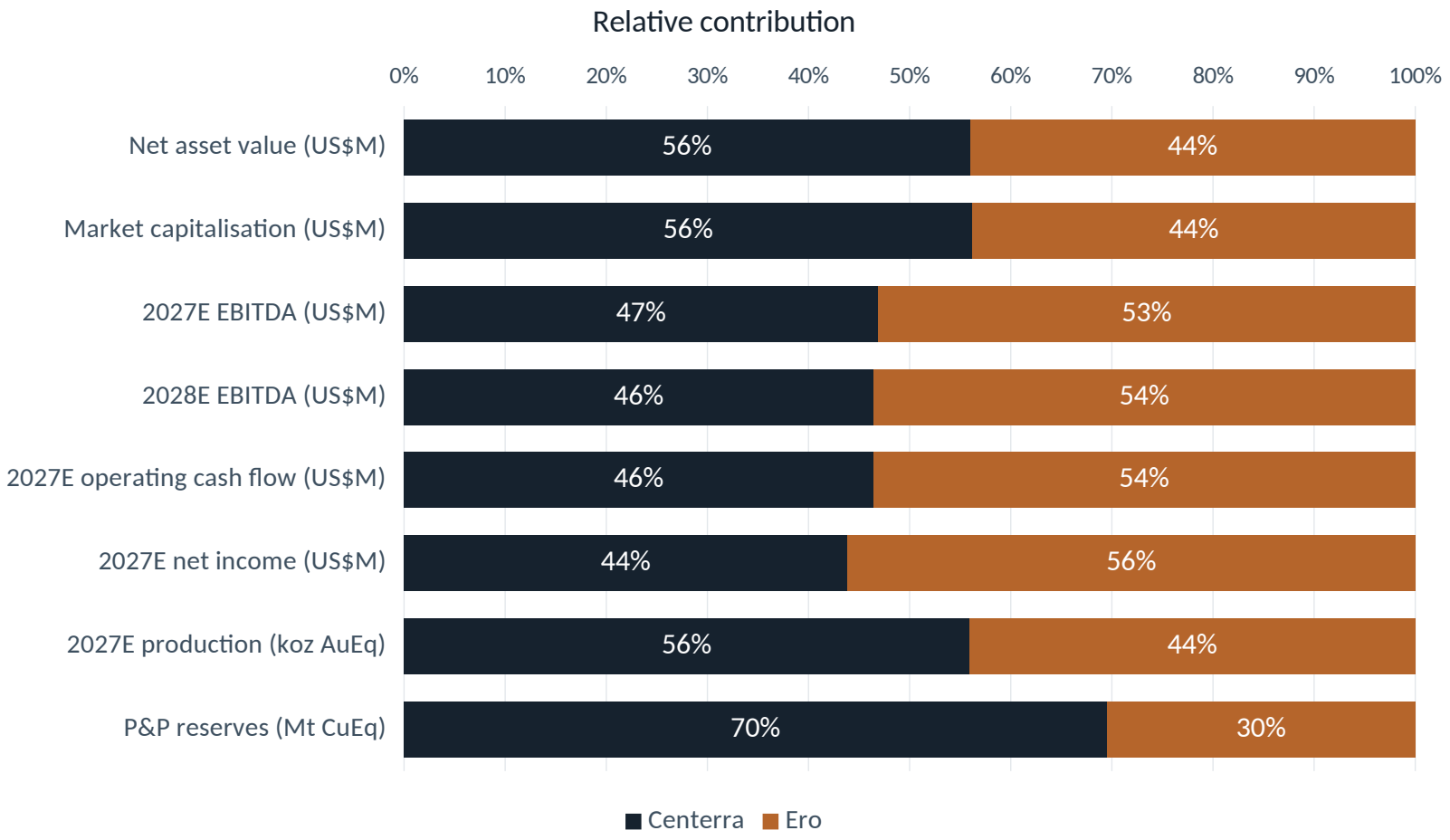
US$155M
2028E (full run-rate)

US$155M
One-off cost to achieve

US$630M
NPV, after tax

Source: Lodestone model: Synergies tab; combined cost base from asset tabs

Ero contributes 53% of 2027E EBITDA but its holders receive 43% of the company



57%

Centerra pro forma ownership

43%

Ero pro forma ownership

Ownership sits between the earnings split and the NAV split, which is where a negotiated outcome usually lands.

Source: Lodestone model: Contribution tab

The US$1.1Bn cash need is met from balance sheet cash and a US$773M term loan; leverage peaks at 1.0x

Sources	US$
New Centerra shares issued	US$3.1Bn
Combined balance sheet cash	US$305M
New acquisition term loan	US$773M
Total sources	**US$4.1Bn**

Uses	US$
Stock consideration to Ero shareholders	US$3.1Bn
Cash consideration to Ero shareholders	US$1.0Bn
Transaction costs	US$60M
Total uses	**US$4.1Bn**

US$1.1Bn
Pro forma net debt

1.0x
Net debt / 2027E EBITDA

6.0%
Assumed cost of new debt

US$472M
Ero net debt assumed

Source: Lodestone model: Merger tab. Minimum cash balance of US$250M retained

Key risks: jurisdiction, execution and the copper price, each with a mitigant

Risk	What could go wrong	Mitigant
Jurisdiction	Adds Brazil (Bahia, Pará, Mato Grosso) to Canada, Türkiye and Nevada; royalty, tax-incentive (SUDENE) and permitting changes.	Brazil has a long mining track record; Öksüt is 45% of Centerra's 2027E mine EBITDA today and 22% pro forma.
Execution	Integration across three new sites in a new country; Tucumã still ramping up; key Ero staff retention.	Keep Ero's Brazilian operating team intact; synergies are corporate and procurement-led, not site-level cuts.
Commodity prices	NAVPS accretion depends on copper: −53% at US$4.00/lb flat.	Deck is already below spot; consider a copper collar on part of Ero's 2027–28 output to protect leverage.
Shareholder support	Centerra holders may resist NAV dilution and a premium for copper exposure.	Lead with CFPS accretion, mine-life extension and re-rating to diversified copper-gold peers.
Financing	US$773M of new debt and Ero's notes (change-of-control).	Leverage of 1.0x; refinance Ero's notes on Centerra's credit.

Source: Lodestone analysis

Next steps: a disciplined path from board discussion to announcement in about ten weeks

1

Weeks 1–2

Board review

Approve approach strategy, price range and consideration mix

2

Weeks 2–4

Confidential approach

Non-binding proposal to Ero's chair; sign NDA and standstill

3

Weeks 4–8

Due diligence

Site visits to Caraíba and Tucumã; reserve audit; Brazil tax and royalty review

4

Weeks 8–10

Definitive agreement

Fairness opinions, financing commitment, lock-ups from key holders

5

Close +4–6 mo.

Approvals

Ero shareholder vote, court approval (plan of arrangement), CADE and Investment Canada

Decision requested today: authorise a confidential, non-binding approach to Ero at up to C$54.64 per share in a mix of Centerra stock and cash.

Appendix: methodology and key assumptions

- Each asset is a reserve-constrained life-of-mine model: ore processed = min(mill capacity, remaining reserve), then grade x recovery x payability gives payable metal.
- Revenue at the analyst deck after the Royal Gold stream at Mount Milligan; costs from site cost per tonne, TC/RC, royalties and sustaining capex, calibrated to 2026 guidance.
- Unlevered after-tax free cash flow discounted mid-year at real rates: 5% gold, 8% copper, 6.5% blended for Mount Milligan.
- Corporate NAV = attributable asset NAVs - capitalised G&A + other assets + cash - debt. NAV is reserve-only.
- Accretion uses standalone 2027E/2028E net income and operating cash flow from the same asset models, plus synergies and financing costs after tax.
- Every assumption lives in a CSV under data/; the Excel model, this deck and the dashboard are all generated from those files. A test suite checks the Python engine against Excel within 0.5%.

Price deck	Copper /lb	Gold /oz
2027	US$6.00	US$3,900
2028	US$5.50	US$3,600
2029+	US$5.00	US$3,300
Spot	US$6.48	US$4,008

Asset	Discount rate	Throughput
Mount Milligan	6.5%	21.5 → 23.7 Mtpa
Öksüt	5.0%	4.5 Mtpa
Goldfield	5.0%	4.5 Mtpa
Caraíba	8.0%	4.2 Mtpa
Tucumã	8.0%	4.0 → 4.4 Mtpa
Xavantina	5.0%	0.2 Mtpa

Source: Lodestone model: Inputs and asset tabs; data/*.csv

Appendix: sources and data status

Input	Source	Status
Centerra reserves (Mt Milligan, Öksüt, Goldfield)	Year-end 2025 MRMR tables	Verified
Mount Milligan life extension and expansion	NI 43-101 PFS, Sep 2025	Verified; Cu grade estimated
Centerra 2026 guidance	Q2 2026 MD&A (Form 6-K)	Verified
Royal Gold stream terms	Centerra MD&A	Verified
Caraíba reserves	Ero reserve statement, Dec 2024	Verified
Tucumã reserves	NI 43-101 technical report, 2021	Verified; depleted in model
Xavantina reserves	Back-solved from 2025 production	Estimate
Ero 2026 guidance	FY2025 MD&A; Q2 2026 results	Verified
Peer reserves (CuEq)	Company reserve statements (approx.)	Estimate
Precedent premiums	Announcement press releases	As reported; to verify
Market data	yfinance snapshot 2026-10-25	Automated

Source: data/sources.csv and data/asset_assumption_notes.csv (full URLs)